

BUS63-3

Global Financial Systems & Economic Governance

International monetary relations, systemic crises, and the limits of
cooperation

Who governs the international economy, why systemic crises emerge, and when cooperation succeeds or fails.

Albert School — 22 hours

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1 The international monetary system

1.1 From the gold standard to the post-1973 float

The international monetary system is the set of rules and conventions governing exchange rates, capital movements, and the settlement of international payments. Its modern history passes through three regimes.

- **Classical gold standard (c. 1870–1914).** National currencies were defined as fixed weights of gold, so exchange rates between them were fixed. Adjustment of external imbalances ran through the price–specie–flow mechanism: a deficit country lost gold, its money supply contracted, prices fell, and its exports regained competitiveness. The system delivered exchange-rate stability at the cost of subordinating domestic monetary policy to the external balance.
- **Bretton Woods (1944–1971).** Currencies were pegged to the US dollar at adjustable parities, and the dollar alone was convertible into gold at \$35 per ounce. The IMF was created to provide short-term financing for countries in temporary balance-of-payments difficulty, and the World Bank to finance reconstruction and development. The system combined fixed-but-adjustable rates with limited capital mobility. It broke down when US external liabilities grew far beyond US gold reserves (the **Triffin dilemma**: the reserve-currency issuer must run deficits to supply world liquidity, which eventually undermines confidence in convertibility). In 1971 the United States suspended gold convertibility, and by 1973 the major currencies were floating.
- **Post-1973 float.** Most large economies now let exchange rates float, with varying degrees of management, and capital moves largely freely. Exchange rates are set in markets, and monetary policy is freed for domestic objectives.

Definition 1 **Global imbalances** are large, persistent current-account surpluses in some countries matched by deficits in others. The contemporary pattern features Chinese and German surpluses against, in particular, US deficits. Because every surplus is some other country's deficit, the imbalances are a property of the system, not of any single country.

1.2 Balance of payments revisited

The balance of payments records all transactions between residents of a country and the rest of the world over a period. It is divided into:

- the **current account** (trade in goods and services, primary income, secondary income / transfers);
- the **capital account** (capital transfers, a small item in most countries);
- the **financial account** (cross-border purchases and sales of assets: direct investment, portfolio investment, reserves).

Theorem 2 (Balance-of-payments identity) Under the standard sign convention, the accounts sum (up to errors and omissions) to zero:

$$CA + KA + FA = 0.$$

Ignoring the small capital account, a current-account deficit must be financed by a net inflow on the financial account — a country importing more than it exports is simultaneously borrowing from, or selling assets to, the rest of the world.

Adjustment of an imbalance can run through the exchange rate (a depreciation raises export competitiveness), through relative prices and incomes, or through financing. **Political blockages** arise because adjustment is asymmetric: deficit countries face market pressure to adjust, while surplus countries face none, so the burden falls on debtors even when the surplus is the mirror cause.

1.3 The Mundell-Fleming trilemma

Theorem 3 (Mundell-Fleming trilemma) An economy cannot simultaneously maintain all three of: (i) a fixed exchange rate, (ii) free capital mobility, and (iii) an independent monetary policy. At most two can be chosen; the third must be given up.

Applied comparatively, each region chooses a different corner and pays the corresponding cost.

- **Eurozone.** Members fix the exchange rate (a shared currency) and allow free capital mobility, and therefore surrender independent national monetary policy to the ECB. The cost is the inability of an individual member to respond to an asymmetric shock with its own interest rate or devaluation.
- **United States.** It keeps an independent monetary policy and free capital mobility, and therefore lets the dollar float. The cost is exchange-rate variability.
- **China.** It has historically kept monetary-policy autonomy and a managed exchange rate, and therefore restricts capital mobility through capital controls. The cost is the inefficiency and incompleteness of a closed capital account.

1.4 Exchange rate as geopolitical instrument

The exchange rate and the monetary system are also instruments of power.

- **Currency manipulation.** A country may intervene to keep its currency undervalued, supporting its exporters and accumulating reserves — a recurrent charge against surplus countries.
- **Dollar primacy.** The dollar’s role as the dominant reserve, invoicing, and settlement currency gives the United States an “exorbitant privilege”: it borrows cheaply in its own currency and gains leverage over the global payments system.
- **Financial sanctions.** Control over dollar clearing and over messaging infrastructure lets the issuer exclude targeted actors from the international payments system. The weaponisation of monetary instruments pushes targeted states toward alternative arrangements, fragmenting cooperation.

2 The institutional architecture

2.1 IMF, World Bank, WTO

Definition 4 The three core multilateral economic institutions:

- the **IMF** — monitors the international monetary system and lends to countries in balance-of-payments crisis, attaching policy conditions (**conditionality**);
- the **World Bank** — finances long-term development and poverty-reduction projects;
- the **WTO** — administers the rules of the multilateral trading system and adjudicates trade disputes.

2.2 The institutional-quality lens

Acemoglu and Robinson distinguish **inclusive** institutions — which secure broad property rights, enforce contracts, and distribute political power widely — from **extractive** institutions, which concentrate power and resources in a narrow elite. Inclusive institutions support sustained growth; extractive ones, at best, transient growth. Applied to the international institutions, the framework asks whether their mandates, governance, and conditionality promote inclusive institution-building in member states or instead entrench existing power.

Legitimate critiques. The IMF is criticised for procyclical, one-size-fits-all conditionality and for a governance structure that under-weights developing economies; the World Bank for project effectiveness and conditionality; the WTO for stalled negotiation rounds and a dispute-settlement system whose appellate function has been blocked. Each critique concerns mandate design and the distribution of voice, not merely outcomes.

3 Systemic financial crises

3.1 Minsky’s endogenous instability

Theorem 5 (Minsky’s financial-instability hypothesis) Stability is destabilising. In a prolonged expansion, confidence rises and the financing structure of the economy shifts from **hedge** finance (income covers interest and principal) to **speculative** finance (income covers only interest) to **Ponzi** finance (income covers neither, so positions depend on rising asset prices). Leverage builds endogenously until a shock forces deleveraging — the **Minsky moment** — triggering asset-price collapse and contagion.

The anatomy of a systemic crisis follows this arc: a **bubble** in some asset class, financed by rising **leverage**, propagating through **contagion** once the turn comes and forced selling and counterparty fears spread across institutions and borders.

3.2 1997 Asian crisis

East Asian economies had pegged exchange rates, open capital accounts, and large short-term foreign-currency borrowing by banks and firms. When confidence reversed, capital fled, the pegs broke, currencies collapsed, and foreign-currency debt burdens exploded — a third-generation currency-and-banking crisis. IMF programmes attached austerity and structural conditionality that many judged procyclical, sharpening the controversy over conditionality design.

3.3 2008 Global Financial Crisis

The crisis built up through rising household and financial-sector **leverage**, a **shadow banking** system of off-balance-sheet vehicles funded by short-term wholesale markets, and **securitisation** that bundled subprime mortgages into instruments whose risk was mispriced. When US house prices fell, losses on these instruments and the collapse of short-term funding propagated globally through interconnected balance sheets.

The policy response combined emergency liquidity, bank recapitalisation, fiscal stimulus, and (later) unconventional monetary policy. Evaluating its **proportionality** means weighing the cost of intervention and moral hazard against the systemic collapse it was designed to prevent — an application of the macro policy-mix reasoning carried over from BUS23-4.

3.4 European sovereign debt crisis, 2010–2015

Definition 6 The euro area is a **monetary union without fiscal union**: members share a currency and a central bank but retain separate national budgets and debts, with no large common fiscal capacity and (originally) no lender of last resort to sovereigns.

When markets repriced peripheral sovereign risk, several members faced self-fulfilling solvency pressure they could not answer with their own currency or central bank. The architecture made **some** repairs — emergency funds (EFSF/ESM), the ECB’s commitment to act as backstop, banking-union supervision — but did **not** create a genuine common fiscal capacity or full debt mutualisation, leaving the core design gap only partly closed.

3.5 2022 inflation shock

Post-COVID supply-chain disruptions and an energy-price spike, on top of demand-side stimulus, produced the sharpest inflation in decades. The Fed and ECB responded with rapid monetary tightening, coordinated in direction if not in timing, aiming to prevent **second-round effects** (wage–price spirals from de-anchored expectations). Assessing proportionality means judging the tightening against the policy-mix framework from BUS23-4: enough to re-anchor expectations without forcing an unnecessary recession.

4 Development and inequality

4.1 Institutional quality and development

Building on Acemoglu and Robinson, the central development claim is that the quality of institutions — inclusive versus extractive — is a deep determinant of long-run prosperity.

Definition 7 The aid and development debate.

- **Sachs** — a coordinated “Big Push” of aid can lift countries out of poverty traps.
- **Easterly** — top-down aid and planning fail; the binding constraints are incentives and accountability, not money.
- **Banerjee–Duflo** — neither grand position should be settled by ideology; specific interventions should be tested with randomised controlled trials (RCTs) and judged on evidence.
- **Moyo** — aid can entrench dependency and bad governance.

Sen’s capabilities approach redefines development as the expansion of people’s real freedoms (capabilities) to be and do what they value, rather than income alone. **Milanovic** documents global **convergence and divergence**: convergence of some emerging economies toward rich-country incomes alongside persistent divergence and within-country inequality.

4.2 Cooperation failure and the globalisation trilemma

Definition 8 A **global public good** (e.g. climate stability, financial stability, an open trading system) is non-excludable and non-rival at the global scale, so each country has an incentive to free-ride, and provision is chronically below the cooperative optimum.

Theorem 9 (Rodrik’s globalisation trilemma) Deep economic globalisation (hyper-globalisation), national sovereignty, and democratic politics cannot all three be fully achieved at once. A society can combine at most two:

- deep globalisation + nation-state, by subordinating domestic politics to international rules (the “golden straitjacket”);
- deep globalisation + democracy, only by moving democracy to the global level (global governance), which does not exist at scale;
- democracy + nation-state, by accepting limits on globalisation.

Applied to a contemporary episode, the trilemma explains **why** cooperation fails: deeper integration demands rules that constrain national democratic choices, and when voters reject that constraint, integration stalls or reverses.

5 Governance challenges

5.1 Climate governance

Climate stability is a global public good, so unilateral decarbonisation creates **carbon leakage**: emissions and emitting industry relocate to jurisdictions with laxer rules, undercutting both the climate goal and domestic producers. The EU’s **Carbon Border Adjustment Mechanism (CBAM)** is a partial response — a charge on the embedded carbon of selected imports, intended to level the field and curb leakage — but it is partial in scope and contested as disguised protection.

5.2 Digital and AI governance

Digital and AI regulation is fragmenting along three poles — a market-led US model, a rights-and-regulation EU model, and a state-control China model. Contested issues include **platform taxation** (where value created by digital firms should be taxed) and the **standards race** (whose

technical and regulatory standards become global). Fragmentation here is the same cooperation-failure structure seen elsewhere: global public goods and standards, provided by states with divergent interests and no binding global authority.

Integrating frame. Across the international monetary system, the institutional architecture, the crisis library, and the development debate, the recurring question is when cooperation on global public goods succeeds and when it fails. Rodrik's trilemma supplies the answer's structure: the deeper the integration demanded, the more it collides with national sovereignty and democratic consent — which is why systemic governance, not corporate finance, is the proper home of these problems.